DEFECTS LIABILITY PERIOD

A guide for homeowners

What is the Defects Liability Period?

The Defects Liability Period (DLP) is a set period of time after Practical Completion during which your builder is responsible for rectifying any defects in the building work. It is a standard provision in most building contracts (including HIA and MBA contracts) and is designed to protect you as the homeowner.

When does it start?

The DLP starts from the date of Practical Completion (PC). This is the date your builder formally notifies you that the building work is complete enough for you to move in and use the property. Minor items may still be outstanding at PC — these will be listed and addressed during the DLP.

How long does it last?

The standard DLP for residential building contracts in most Australian states is typically 13 weeks (approximately 3 months) from the date of Practical Completion. Check your specific contract, as the period may vary. Some contracts specify 6 months or other periods.

What is a defect?

A defect is work that does not meet the standard required by the building contract, the Building Code of Australia (NCC), or Australian Standards. Examples include: cracking beyond acceptable tolerances, paint peeling or blistering, doors or windows not closing properly, taps leaking, tiles cracked or uneven, drainage issues, and incomplete or missing work items.

What is NOT a defect?

Normal building movement and minor shrinkage cracks (particularly in the first 12 months) are generally not defects. Wear and tear, damage caused by the homeowner, and issues arising from lack of maintenance are also not covered. Natural timber movement, minor colour variations in materials, and condensation are typically considered normal.

How do I report a defect?

You should notify your builder of any defects in writing as soon as you notice them. Include: a clear description of the issue, the location within the property, photos if possible, and the date you noticed it. Email is usually the best method as it provides a record.

What happens after I report a defect?

Your builder will assess the reported items, determine which are genuine defects, and arrange rectification within a reasonable timeframe. The builder may need to coordinate tradespeople and materials, so allow reasonable time for the work to be completed.

What if the builder doesn't fix defects?

If your builder does not respond or refuses to rectify genuine defects, you may escalate the matter through your state's building dispute resolution process. In NSW this is NSW Fair Trading, in VIC it is the Victorian Building Authority (VBA), and in QLD it is the Queensland Building and Construction Commission (QBCC).

Statutory Warranties

In addition to the DLP, statutory warranties provide longer-term protection. In most states, builders provide warranties of 6 years for major defects and 2 years for other defects from the date of completion. These are separate from the DLP and provide additional protection under consumer law.

Summary of Key Dates

Milestone	Date
Practical Completion Date	_____
Defects Liability Period Ends	_____
Statutory Warranty (Major Defects) Ends	_____
Statutory Warranty (Other Defects) Ends	_____

Disclaimer: This document is for general information only and does not constitute legal advice. Refer to your specific building contract and applicable state legislation for your rights and obligations.